



see if you could provide something better—that customers would value more highly. If you are planning to open a local business, speak to people about what is available nearby, and what is not. Also try out existing products and services yourself to learn what you could improve upon. Think laterally and look for needs that others have not yet identified.

Assessing your options

When considering potential gaps, research why they might exist. While it may be that no one has thought of a suitable product or service yet, it could also be because there is insufficient demand to justify filling it (see pp.42–43). For example, the town without a Mexican restaurant may once have had one that closed through lack of demand.

Be flexible when looking for your potential market, and willing to adapt your ideas. Research your options thoroughly before committing yourself.



NEED TO KNOW

- › **Competitive markets** are those in which there is a large number of buyers and sellers, meaning no one can control the market price.
- › **Demand** refers to the amount of a product or service that customers and clients will buy at a given price.
- › **Market disrupters** create new products, services, or approaches that transform existing markets, and often become a new market leader in the process.

“High expectations are the key to everything.”

Sam Walton, founder of Wal-Mart Stores Inc.

LOW PRICE, LOW QUALITY

- › Attractive but clearly affordable
- › Targets young with fast-changing wardrobes
- › No claim to be a durable product



MEDIUM PRICE, LOW QUALITY

- › Selling point is its catchy, new look
- › Stylish and appeals to all ages
- › Disappointing quality; soon wears out

